

of the Insull system of public-utility holding companies was precipitated in this way.

Examples: It is difficult to say exactly how apprehensively the investor or speculator should have viewed the presence of \$68,000,000 of bank loans in the New York Central balance sheet at the end of 1932 or the bills payable of \$69,000,000 owned by Cities Service Company on December 31, 1931. But certainly this adverse sign should not have been ignored. The more conservatively minded would have taken it as a strong argument against any and all securities of companies in such a position, except possibly issues selling at so low a price as to constitute an admitted but attractive gamble. An improvement in conditions will, of course, permit such bank loans to be refunded, but logic requires us to recognize that the improvement is prospective whereas the bank loans themselves are very real and very menacing.³

When a company's earnings are substantial, it rarely becomes insolvent because of bank loans. But if refinancing is impracticable—as frequently it was in the 1931–1933 period—the lenders may require suspension of dividends in order to make all the profits available to reduce the debt. It is for this reason that the dividend on Brooklyn-Manhattan Transit Corporation common was passed in 1932 and the preferred dividend of New York Water Service Corporation was passed in 1931, although both companies were reporting earnings about as large as in previous years.

The 1937–1938 recession did not create corporate financial problems comparable with those arising out of the two previous depressions. In this respect there is a significant contrast between the stock markets of 1919–1921 and 1937–1938. For the decline in stock prices was actually greater—both in dollars and percentagewise—in the recent period than in the postwar collapse, although intrinsically the 1937–1938 downturn was of much smaller importance, since it had relatively slight effect upon the position of American corporations generally.⁴ This may be taken as a rather disquieting sign that stock prices have been growing more irrationally sensitive to temporary fluctuations in business—a fact that we

³ Improvement in general business, plus easy money rates (plus in the case of railroads a misguided optimism on the part of investors) enabled many companies to fund bank loans that looked dangerous in 1931–1933.

⁴ The Stokely case is an exception to this statement, but there were surprisingly few of the kind.